



5th Pillar
Family Takaful Limited
آئیے، ساتھ چلیں



FUND MANAGER REPORT

October | 2024

5th Pillar Family Takaful Limited - Conservative Fund

For the month of October - 2024

Investment Objective:

The main objective of fund is to provide the stability in returns with capital preservation by investing in low risk shariah compliant fixed income instruments with strong credit rating of "AA" and above.

Fund Information

Fund Category	Money Market
Risk Profile	Low
Launch Date	18-Jul-23
Nav per unit at launch Date	100.0000
Nav per unit at month End (Oct-2024)	126.2047
Pricing Mechanism	Daily Forward pricing
Pricing Frequency	Monday to Friday
Total Net Assets (Rs.)	131.4 M
Weighted Avg.time to Maturity	0.9 Year
Expense Ratio	0.29%
Management Fee	1.75% p.a.
Benchmark	60% weightage of Meezan Cash Fund & 40% average of 6M deposit rate of 3 AA-rated of Islamic banks or Islamic windows of Conventional banks

Asset Allocation	Oct-24	Sep-24
GOP Ijarah Sukuks	85.30%	83.08%
Mutual Funds	7.90%	8.37%
Bank	1.60%	3.37%
Others	5.20%	5.18%

Fund Returns	Oct-24	Sep-24
Return on (MoM) basis	36.18%	27.10%
180 days return	22.94%	19.23%
Last 365 days return	22.00%	20.29%
Return since inception (annualized)	19.76%	18.69%
Last 05 years (annualized)	N/A	N/A
Last 10 years (annualized)	N/A	N/A

Fund Manager's comments

During Oct-24, the equity market maintained its upward momentum driven largely by a sharp decline in inflation, which fueled expectations of an increase in the pace of monetary easing. Additionally, improvements in receivables collection in OGDC and PPL kept the stocks in the spotlight, while news of a merger between FFC and FFBL, coupled with strong financial results, further piqued investor interest in those companies. On the political front, the government's successful passage of the 26th Constitutional Amendment provided a sense of stability, contributing to overall market confidence. Consequently, the KSE-100 and KMI-30 indices ended the month at 88,967pts (up 9.7% MoM) and 133,711pts (up 7.2% MoM), respectively.

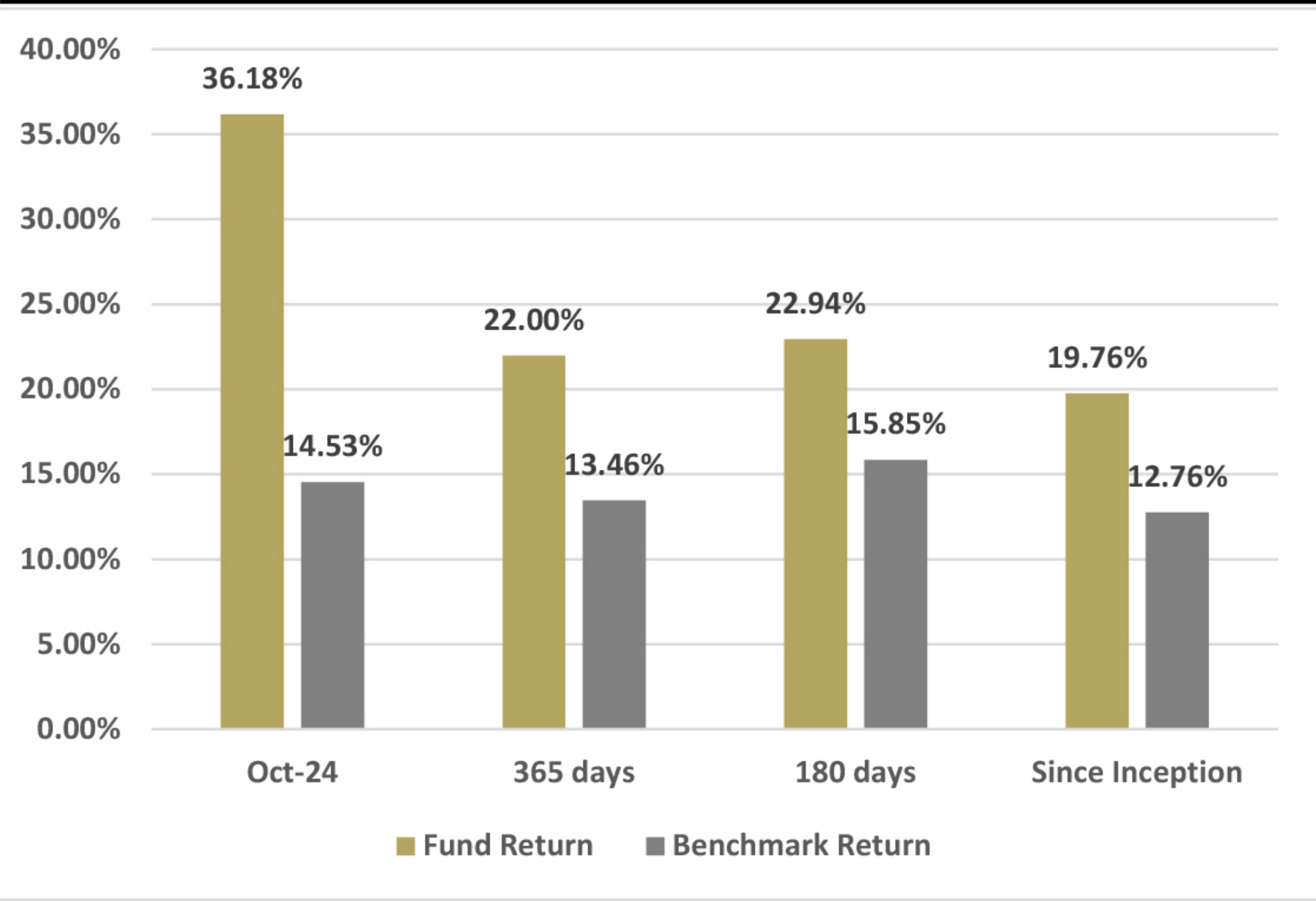
On the economic front, CPI for Oct-24 clocked in at 7.2% YoY, up slightly from 6.9% recorded in Sep-24. This brings the average annual inflation for 4MFY25 to 8.7%, a significant decline from 28.5% witnessed during the same period last year. Accordingly, the Monetary Policy Committee, in its meeting held on 04-Nov-24, reduced the Policy Rate by another 2.5% to 15.0%. Apart from this, the Current Account Surplus for Sep-24 clocked in at USD 119mn, compared to USD 29mn in Aug-24.This was largely driven by higher exports (up 6.7% MoM), while imports remained flattish.

Going forward, continued support from friendly nations and development partners under the IMF program should help alleviate concerns about external account vulnerabilities. On the economic front, we expect disinflation to persist in the coming months, primarily due to a high base effect. Furthermore, if global commodity and energy prices remain subdued and the PKR maintains its value, it will further support our outlook for disinflation. With positive economic fundamentals and easing inflationary pressures, the equity market is well-positioned to attract investor interest leading to a sustained rally in the market.



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Fund's Performance



Asset Allocation

